

FEDERAL MARITIME COMMISSION

DOCKET NO. 17-08

**CARLSTAR GROUP LLC f/k/a CARLISLE TRANSPORTATION PRODUCTS, INC.
and CTP TRANSPORTATION PRODUCTS, LLC**

v.

UTi, UNITED STATES, INC.; UTi UNITED STATES, LLC; and DSV AIR & SEA, INC.

**AMENDED ORDER ENLARGING TIME TO FILE REPLY MEMORANDUM and
ORDER DIRECTING COMPLAINANTS TO SUPPLEMENT BRIEF
RESPONDING TO RESPONDENTS' MOTION TO DISMISS**

On December 29, 2017, the undersigned granted Respondents' motion for enlargement of time to file their reply to Complainants' response to the pending motion to dismiss the Complaint. The Order enlarged the time to January 9, 2018, and directed Respondents "to include in their reply a discussion of the effect of the tolling agreements described in paragraphs 32-34 of the Complaint on Respondents' statute of limitations argument." *Carlstar Group LLC f/k/a Carlisle Transportation Products, Inc. and CTP Transportation Products, LLC v. UTi, United States, Inc.; UTi United States, LLC; and DSV Air & Sea, Inc. (Carlstar v. UTi)*, FMC No. 17-08 (ALJ Dec. 29, 2017) (Order Enlarging Time to File Reply Memorandum). A closer review of the record suggests a need for additional briefing on an issue. Therefore, the December 29, 2017, order is amended to vacate the January 9, 2018, filing date. Respondents' reply must be served and filed as set forth below.

Complainant is directed to file a supplemental brief regarding UTi's status on the shipments at issue in this proceeding. I take official notice of Commission records indicating that Respondent UTi, United States, Inc. (UTi) was a non-vessel operating common carrier (NVOCC) and an ocean freight forwarder licensed by the Commission (License No. 001792) and that UTi voluntarily surrendered its Commission license effective December 12, 2016.

The Complaint alleges that on June 1, 2011, complainant Carlisle Transportation Products, Inc. (Carlisle) and UTi executed a Carlisle Transportation Products Agreement (agreement) for UTi to provide Carlisle with "world-class ocean freight negotiation and management services" including,

but not limited to, “freight forwarding, brokerage, contract logistics and consulting services” as well as duties delineated in a Statement of Work attached to the agreement. (Complaint ¶¶ 8-9 and Exhibit 1.)¹ In return, Carlisle agreed to compensate UTi according to the schedule of pricing and handling fees in accordance with the rates in an attachment to the agreement. The pricing schedule reflected “usual commercial terms in the service area provided” and would be reviewed on an annual basis. Where industry and commerce trends and conditions allowed for more favorable rates, UTi pledged its best efforts in to modify its rate structures so that both parties could take advantage of these rates without sacrificing service. UTi agreed to notify Carlisle promptly when commercial and world conditions required increased rates and costs. (Complaint ¶¶ 10-13.) The original agreement was in effect until June 30, 2012, and was extended by amendments through December 31, 2015. The amendments also recorded changes in Carlisle’s name. (Complaint ¶¶ 14-22.)

As specific wrongful acts committed by Respondents, Complainants allege:

24. This Ocean Audit, Inc. audit (“Ocean Audit”) revealed significant discrepancies between the amount UTi billed Carlstar under the Agreements versus the amount UTi should have billed Carlstar.

25. Prior to the Ocean Audit, Carlstar was not aware of UTi’s overcharges alleged in this Complaint.

26. The amount Carlstar was overcharged, and the amount it overpaid, for UTi shipments was at least \$805,825.56 for the period from 2011 through 2016. See Exhibits 5-12.

27. The Ocean Audit analysis suggests that \$151,925.63 is due for duplicate pay and hybrid claims. See Exhibits 5.9. More specifically, the following five (5) shipments were double-billed, triple-billed, or incorrectly billed:

- a. Invoice Nos. CLT338574300 and CLT338574302 show double billing, as the same Shipment No. 5861142431 is listed on these two (2) invoices, resulting in an overcharge of \$39,384.51. See Exhibit 5.
- b. Invoice No. 29000103373 shows double billing as Shipment No. 5861206526 only had two (2) containers, but Carlstar was billed for four (4) containers, resulting in an overcharge of \$7,120.00. See Exhibit 6.
- c. Invoice No. 29000799420-1 shows that UTi overcharged Carlstar by \$19,209.00, as it contains incorrect BAF billing on Shipment No. 114109940. See Exhibit 7.
- d. Invoice No. 29000070632 shows that UTi overcharged Carlstar \$63,694.12 as: (1) Shipment No. 5861211869 only had four (4) containers, but Carlstar was billed for eight (8) containers; (2) Shipment No. 5861211869 contains an incorrect freight billing amount on Shipment No. 5861211869; and (3) Shipment No. 5861211869 was billed twice. See Exhibit 8.

¹ The exhibits are attached to the Complaint.

e. Invoice Nos. 29000262702-1, 29000262702-2 and 29000262702-4 reflect an over-payment by Carlstar of \$22,518.00 related to Shipment No. 103906865. See Exhibit 9.

28. The Ocean Audit analysis suggests that UTi improperly charged Carlstar bill of lading fees on a per container basis, rather than on a per shipment basis, for 548 shipments invoiced between February 2014 and February 2016, resulting in \$132,519.00 of bill of lading fee overcharges. See Exhibit 10.

29. The Ocean Audit analysis suggests that \$385,730.93 is due for ocean freight billing errors. See Exhibit 11.

30. The Ocean Audit analysis suggests that \$135,650.00 is due for bunker fuel charge invoice errors. See Exhibit 12.

31. As a result of the overcharges uncovered by Ocean Audit, Carlstar conducted an internal audit of the pass-through and miscellaneous charges paid by Carlstar to UTi from January 2014 through April 2016. Carlstar has not identified any back-up documentation provided by UTi evidencing that \$4,349,344.50 of these alleged charges were actually incurred by UTi, thereby constituting overcharges, and UTi has failed to provide the documentation to Carlstar as requested. See Exhibit 13.

(Complaint (emphasis deleted).)

The Agreement obligates UTi “to perform and provide such Services as may be mutually agreed to by [Carlstar] and UTi, including but not limited to freight forwarding, brokerage, contract logistics and consulting services” and obligates Carlstar to “use UTi exclusively for its ocean freight forwarding and NVOCC requirements in Asia Pacific, Africa, North and South America, Europe and Australia.” (Complaint Exhibit 1 at 1.) UTi is described as “an independent contractor for all purposes.” (*Id.* at 4.)

Appendix A to the Agreement provides, *inter alia*:

- o UTi will conduct joint Carlisle UTi RFP/negotiations for each ocean contract required.
- o UTi will draft RFP requirements in accordance with Carlisle’s reasonable instructions and business rules to present to carriers at the commencement of each RFP.

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- o Carriers invited into process will be chosen jointly by Carlisle & UTi team UTi assesses and recommends carriers by lanes from the RFP process and presents to Carlisle for approval a UTi is responsible for managing carriers.
- o UTi is responsible for signing ocean freight contracts and the subsequent (MQC)

Minimum Quantity commitment fulfillment.

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o As noted, all rates fees and charges are between UTi & Carlisle. That those rates, fees and charges mirror the actual rates, fees and charges between UTi and each Ocean Carrier.

o UTi agrees to provide comprehensive management and access to all rates, fees, charges that are agreed upon by Carlisle, UTi and the Ocean carriers used to transport Carlisle shipments by UTi.

(Complaint Exhibit 1 Appendix A.)

Complainants contend that Respondents violated section 41102(c) of the Shipping Act of 1984 by failing to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property, section 41104(2) by charging rates greater than the published tariff and/or the Agreements, and section 41102(4) by charging unfair and potentially discriminatory fees. 46 U.S.C. §§ 41102(c), 41104(2), 41102(4). (Complaint ¶¶ 36-38.)

The Shipping Act defines non-vessel-operating common carrier (NVOCC) as “a common carrier that – (A) does not operate the vessels by which the ocean transportation is provided; and (B) is a shipper in its relationship with an ocean common carrier,” 46 U.S.C. § 40102(16), and ocean freight forwarder as “a person that – (A) in the United States, dispatches shipments from the United States via a common carrier and books or otherwise arranges space for those shipments on behalf of shippers; and (B) processes the documentation or performs related activities incident to those shipments.” 46 U.S.C. § 40102(18). Commission regulations define freight forwarder services, 46 C.F.R. § 515.2(h), and NVOCC services. 46 C.F.R. § 515.2(k).

It is not clear from Complainants’ Complaint, the Carlisle Transportation Products Agreement, or Complainants’ opposition to Respondents’ motion to dismiss whether Complainants contend UTi was operating as an NVOCC or an ocean freight forwarder on the shipments that were subject to the Carlisle Transportation Products Agreement. Therefore, it is hereby

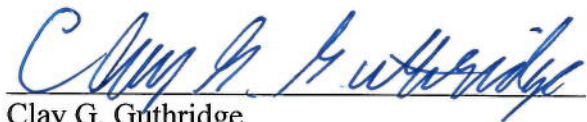
ORDERED that on or before January 17, 2018, Complainants supplement their response to Respondents’ motion to dismiss with a brief setting forth their contentions regarding the operational status of UTi on the shipments that were subject to the Carlisle Transportation Products Agreement. The memorandum should identify the documentary evidence already in the record on which its contentions are based. If the supporting documentary evidence is not already in the record, Complainants should identify the documentary evidence and include the evidence with its memorandum. Because this proceeding is currently before the undersigned on a motion to dismiss, if the documentary evidence is voluminous, Complainants should only include a representative sample of the documents on which they rely.

Complainants are directed to include responses to the following questions in their brief:

1. Did UTi issue its own bills of lading on the shipments subject to the Carlisle Transportation Products Agreement?
2. Did vessel-operating common carriers or other NVOCCs issue bills of lading identifying UTi as the shipper on the shipments subject to the Carlisle Transportation Products Agreement?

It is

FURTHER ORDERED that on or before January 24, 2018, Respondents serve and file their reply to Complainants' response to Respondents' motion to dismiss **and** matters raised in Complainants' supplemental brief. On or before January 31, 2018, Complainants may file a sur-reply to Respondents' reply **limited solely to the issue of the operative date for the statute of limitations and to respondents' reply to complainants' supplemental brief.**



Clay G. Guthridge
Administrative Law Judge